

D362

Corporate Finance

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

Three friends are opening a craft brewery with \$600,000 of their savings. They want to protect their personal homes if the business is sued, and they want business profits taxed only once, on their personal returns. One founder has a law degree and they have already picked a name. Which structure fits best?

- A. Limited liability company (LLC)
- B. C corporation
- C. Sole proprietorship
- D. General partnership

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

The CEO of a publicly traded firm, whose headquarters recently moved to Denver, receives a large bonus tied only to this year's accounting earnings. She delays needed equipment maintenance to boost this year's profit, though it will raise costs later. The firm has 40,000 shareholders. What does this illustrate?

- A. Stakeholder theory in action
- B. Sound management, since the firm's goal is to maximize this year's profit
- C. A problem caused by the headquarters move
- D. An agency problem

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A company will receive a \$50,000 payment from a customer in 3 years. Its discount rate is 8%. The customer is a large utility with an A credit rating. What is the payment worth today?

- A. \$39,691.61
- B. \$50,000
- C. \$40,322.58
- D. \$62,985.60

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

How much must a firm deposit today at 6% compounded annually to have \$100,000 in 5 years?

- A.** \$76,923.08
- B.** \$133,822.56
- C.** \$74,725.82
- D.** \$94,339.62

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A project costs \$100,000 today and returns \$30,000 at the end of each of the next 4 years. The firm's required return is 10%. The project manager has 20 years of experience and the equipment is made in Japan. What is the NPV, and should the firm accept?

- A.** +\$4,904; accept
- B.** -\$4,904; reject
- C.** +\$20,000; accept
- D.** +\$95,096; accept

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A firm's capital structure is 60% equity and 40% debt at market values. Cost of equity is 12%, pre-tax cost of debt is 7%, and the tax rate is 25%. The firm's bonds trade actively and its CFO joined last year. What is its WACC?

- A.** 9.3%
- B.** 10.0%
- C.** 9.5%
- D.** 7.95%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

A firm's WACC is 9%. It is financed 50% debt and 50% equity, and its after-tax cost of debt is 5%. What is its cost of equity?

- A.** 18%
- B.** 5%
- C.** 4%
- D.** 13%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A company's 10-year bond pays a 5% annual coupon on a \$1,000 face value. Since it was issued, market rates on similar bonds have risen to 7%. The issuer is a well-known airline that recently added 12 routes. How does the bond's price compare with face value?

- A.** Above \$1,000, because rates rose.
- B.** Below \$1,000, because its coupon is below the market rate.
- C.** Above \$1,000, because the airline is growing.
- D.** Exactly \$1,000, because the coupon payments do not change.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

A bond trades at \$1,080 on a \$1,000 face value. What must be true?

- A.** Its credit rating must have just been upgraded.
- B.** Its coupon rate is lower than its current market yield.
- C.** Its coupon rate is higher than its current market yield.
- D.** Its yield to maturity equals its coupon rate.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A utility just paid a dividend of \$2.00 per share. Dividends are expected to grow 4% a year forever, and investors require a 10% return. The company has paid dividends for 50 straight years. What is the stock's value?

- A.** \$14.86
- B.** \$20.80
- C.** \$34.67
- D.** \$33.33

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11. [TRANSFER — reversed stem / different variable]

A stock sells for \$50. Next year's dividend is expected to be \$2.50, and dividends grow 5% a year. What return do investors require?

- A. 0%
- B. 5%
- C. 2.5%
- D. 10%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A company expects free cash flow of \$12 million next year, growing 3% a year forever. Its WACC is 9% and its cost of equity is 13%. It has 2,000 employees. What is the value of the firm's operations?

- A. \$133.3 million
- B. \$200 million
- C. \$206 million
- D. \$120 million

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

Three friends are opening a craft brewery ~~with \$600,000 of their savings~~. They want to protect their personal homes if the business is sued, and they want business profits taxed only once, on their personal returns. ~~One founder has a law degree and they have already picked a name~~. Which structure fits best?

Target word: structure **Decides:** Limited liability plus pass-through taxation.

A	Correct	Protects personal assets and passes income through to owners.
B	Adjacent category	Limited liability, but profits are taxed at the corporate level and again as dividends.
C	Confusion set	One owner and unlimited liability.
D	Dropped element	Pass-through, but partners have unlimited personal liability.

2. Answer D Concept 2

The CEO of a publicly traded firm, ~~whose headquarters recently moved to Denver~~, receives a large bonus tied only to this year's accounting earnings. She delays needed equipment maintenance to boost this year's profit, though it will raise costs later. ~~The firm has 40,000 shareholders~~. What does this illustrate?

Target word: name the concept **Decides:** Manager's pay incentive conflicts with long-run shareholder value.

A	Adjacent category	No stakeholder group is being served; the CEO's own pay is.
B	Confusion set	The goal is long-run shareholder wealth, not one year's profit.
C	Camouflage	The move does not create the incentive conflict.
D	Correct	The agent (CEO) serves her bonus at the owners' expense.

3. Answer A Concept 3

A company will receive a \$50,000 payment from a customer in 3 years. Its discount rate is 8%. ~~The customer is a large utility with an A credit rating~~. What is the payment worth today?

Target word: present value **Decides:** Discount \$50,000 for 3 years at 8%.

A	Correct	$\$50,000 \div 1.08^3 = \$39,691.61$.
B	Camouflage	A strong credit rating does not remove the time value of money.
C	Dropped element	Simple discounting ($\$50,000 \div 1.24$) drops compounding.
D	Inverted operation	Compounds forward instead of discounting.

4. Answer C Concept 3 • transfer

How much must a firm deposit today at 6% compounded annually to have \$100,000 in 5 years?

Target word: deposit needed today **Decides:** $PV = \$100,000 \div 1.06^5$.

A	Dropped element	Simple interest ($\$100,000 \div 1.30$) drops compounding.
B	Inverted operation	Future value of \$100,000, not the deposit.
C	Correct	$\$100,000 \div 1.338226 = \$74,725.82$.
D	Wrong stem number	Discounts one year instead of five.

5. Answer B Concept 4

A project costs \$100,000 today and returns \$30,000 at the end of each of the next 4 years. The firm's required return is 10%. ~~The project manager has 20 years of experience and the equipment is made in Japan.~~ What is the NPV, and should the firm accept?

Target word: NPV and decision **Decides:** $PV \text{ of inflows} = \$30,000 \times 3.1699 = \$95,096$.

A	Inverted operation	Right size, wrong sign.
B	Correct	$\$95,096 - \$100,000 = -\$4,904$.
C	Dropped element	Adds undiscounted cash flows.
D	Adjacent category	PV of inflows, not NPV; the cost is not subtracted.

6. Answer A Concept 5

A firm's capital structure is 60% equity and 40% debt at market values. Cost of equity is 12%, pre-tax cost of debt is 7%, and the tax rate is 25%. ~~The firm's bonds trade actively and its CFO joined last year.~~ What is its WACC?

Target word: WACC **Decides:** After-tax debt = $7\% \times 0.75 = 5.25\%$.

A	Correct	$0.6 \times 12\% + 0.4 \times 5.25\% = 7.2\% + 2.1\% = 9.3\%$.
B	Dropped element	Leaves out the debt tax shield.
C	Adjacent category	A simple average of 12% and 7%, ignoring weights and taxes.
D	Inverted operation	Swaps the equity and debt weights.

7. Answer D Concept 5 · transfer

A firm's WACC is 9%. It is financed 50% debt and 50% equity, and its after-tax cost of debt is 5%. What is its cost of equity?

Target word: solve for cost of equity **Decides:** $9\% = 0.5 \times Re + 0.5 \times 5\%$.

A	Dropped element	Divides WACC by the equity weight; drops the debt piece.
B	Wrong stem number	The after-tax cost of debt.
C	Inverted operation	Subtracts the debt cost from WACC with no weighting.
D	Correct	$0.5 \times Re = 9\% - 2.5\% = 6.5\%$, so $Re = 13\%$.

8. Answer B Concept 6

A company's 10-year bond pays a 5% annual coupon on a \$1,000 face value. Since it was issued, market rates on similar bonds have risen to 7%. ~~The issuer is a well known airline that recently added 12 routes.~~ How does the bond's price compare with face value?

Target word: premium or discount **Decides:** Coupon 5% is below market 7%.

A	Inverted operation	Bond prices move opposite to rates.
B	Correct	Buyers pay less so the yield rises to 7%.
C	Camouflage	Route growth does not offset the rate gap.
D	Dropped element	Ignores the change in market rates.

9. Answer C Concept 6 • transfer

A bond trades at \$1,080 on a \$1,000 face value. What must be true?

Target word: infer the rate relationship from price **Decides:** Premium price.

A	Absolute language	Possible, but a fall in market rates alone also creates a premium.
B	Inverted operation	That produces a discount.
C	Correct	A premium means the coupon beats the market rate.
D	Confusion set	That is true only at par.

10. Answer C Concept 7

A utility just paid a dividend of \$2.00 per share. Dividends are expected to grow 4% a year forever, and investors require a 10% return. ~~The company has paid dividends for 50 straight years.~~ What is the stock's value?

Target word: stock price **Decides:** $D1 = \$2.00 \times 1.04 = \2.08 .

A	Inverted operation	Adds growth to the required return.
B	Adjacent category	Treats it as a no-growth perpetuity ($\$2.08 \div 0.10$).
C	Correct	$\$2.08 \div (0.10 - 0.04) = \34.67 .
D	Dropped element	Uses $D0$ and skips growing the dividend.

11. Answer D Concept 7 • transfer

A stock sells for \$50. Next year's dividend is expected to be \$2.50, and dividends grow 5% a year. What return do investors require?

Target word: solve for r **Decides:** $r = D1 \div P0 + g$.

A	Inverted operation	Subtracts growth instead of adding it.
B	Dropped element	Dividend yield only; drops growth.
C	Wrong stem number	Reads the dividend as a percentage.
D	Correct	$\$2.50 \div \$50 = 5\%$, plus 5% growth = 10%.

12. Answer B Concept 8

A company expects free cash flow of \$12 million next year, growing 3% a year forever. Its WACC is 9% ~~and its cost of equity is 13%. It has 2,000 employees.~~ What is the value of the firm's operations?

Target word: firm value **Decides:** Discount firm cash flow at WACC minus growth: $9\% - 3\%$.

A	Dropped element	Ignores growth ($\$12M \div 0.09$).
B	Correct	$\$12M \div 0.06 = \$200M$.
C	Wrong stem number	Grows next year's cash flow a second time.
D	Camouflage	Uses the cost of equity ($13\% - 3\%$).

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owled.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	10	
Wrong stem number	A figure copied from the prompt that is not the answer.	4	
Adjacent category	The right idea in the wrong bucket.	5	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	1	
Confusion set	Every option is real; the test is exact role-matching.	3	
Camouflage	Answers a stem fact that was never the question.	4	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Choosing a business structure	Match liability and tax needs: LLCs and corporations limit owner liability; LLCs, partnerships and S corporations pass income through, while C corporations face double taxation.	Assuming a partnership protects personal assets, or that every corporation is taxed once.	Owners who want both liability protection and single taxation.
2	Agency problem and the goal of the firm	The goal is to maximize long-run shareholder wealth; managers acting for their own pay at owners' expense is the agency problem.	Treating this year's accounting profit as the firm's goal.	Pay tied to short-term earnings and a manager trading long-run value for it.
3	Time value of money	$PV = FV \div (1 + r)^n$; a dollar later is worth less than a dollar today.	Compounding when you should discount, or using simple interest.	A future amount, a rate and a number of years.
4	Net present value	$NPV = PV \text{ of future cash flows} - \text{initial cost}$; accept if $NPV > 0$.	Adding up undiscounted cash flows.	A cost today, level inflows, and a required return.
5	Weighted average cost of capital	$WACC = W_e \times R_e + W_d \times R_d \times (1 - T)$.	Leaving out the debt tax shield or swapping the weights.	Capital weights, costs of equity and debt, and a tax rate.
6	Bond prices move opposite to rates	When market rates rise above the coupon, a bond sells at a discount; when they fall below, at a premium.	Thinking a higher market rate raises a bond's price.	Coupon rate vs. current market rate.
7	Constant-growth stock valuation	$P_0 = D_1 \div (r - g)$, where $D_1 = D_0 \times (1 + g)$.	Using D_0 instead of D_1 , or adding g to r .	Just-paid dividend, growth rate and required return.
8	Value of the firm	Firm value = next year's free cash flow $\div (WACC - g)$ for constant growth; discount firm cash flows at WACC, not the cost of equity.	Discounting firm-wide cash flow at the cost of equity.	Free cash flow, growth, WACC and a cost of equity all in one stem.

Course scope (public description): Corporate Finance is about business structures that set the environment for the day-to-day operations of a business. This course teaches learners about the common forms of business structures, the factors that business owners consider when they choose which structure to use, and the roles of shareholders and stakeholders. This course also teaches that managing the financial function involves capitalizing the company and evaluating capital budget techniques, including those that use the time value of money. Through this course, learners will learn how to calculate the cost to finance a business using the weighted average cost of capital, how to value stocks and bonds, and how to determine the value of the firm. The prerequisites for this course include Principles of Financial and Managerial Accounting, Finance Skills for Managers, Applied Probability and Statistics, Principles of Economics, and Financial Statement Analysis.